

VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Macro Overview:

The trading week was framed by two major narratives: **geopolitical anxiety and impending monetary action**. Geopolitically, renewed Russian threats to EU security added a layer of caution, even as the Trump administration continued its high-profile efforts toward a peace deal in Ukraine. Domestically, US equity markets successfully pared some of the previous week's losses. All eyes are now fixed on the December 10th Fed meeting, where the consensus anticipates a 25 bps interest rate cut as the central bank responds to signs of a tightening labor market.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	+0.95%	-1.67%
TSX	+0.68%	+0.13%
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.108%	4.091%
Canada 10 Year Bond Yield	3.2670%	3.228%

Are fixed-maturity funds safe?

Author, Source & Date Published: Tasos Vossos and Abhinav Ramnarayan, November 30th, 2025

Link: [Bloomberg Article](#)

Overview:

In the last few years fixed-maturity funds have skyrocketed and have reached 260 billions in assets under management. A **fixed-maturity fund** is a financial instrument that compiles a basket of bonds with a specific date of maturity. The portfolio manager takes the money invested and allocate it in many bonds that reflect the expected time of maturity. **The portfolio manager holds the bonds until maturity**, so they don't make a bet on price fluctuations. It is assumed that there is no volatility on the expected income, however this is an important assumption that we should question. It could be the case that some bonds default on their debt.

Behavioral Context:

The perception of some savers have changed. They believe because their are investing is "safe" assets like debt instruments, this could still count as savings. Savers are becoming investors, as funds make it easier for people to put their money to work. People want to maximize their diversification without having to put in a lot of effort. New financial technologies like ETFs, permit investors to do this. They don't have to be super technical about analysing the different securities, as they are exposed to thousands of bonds.



[Investing.com](#), "United States Government Bonds Yield Curve," accessed December 4, 2025.

Examining the graph, we observe that one year ago, investors were heavily compensated by short-term instruments. The yield curve has since transitioned from a "flat" or inverted shape to an increasingly upward-sloping shape. This shift reflects investor expectations of future central bank rate cuts combined with solid, long-term economic growth.

Risk and Catalysts:

- **Risks:**

- Portfolio managers could have the incentive to offer the ETF with the highest yield by including riskier assets to the pool. They might be able to attract investors by offering them a higher return, and take all of the demand from the rest of participants.



VSEUS, internal creation, 2025. Created with Gemini.

- Investors might not be fully aware of the risk. Investing is simplified for them, which makes investments very accessible to the extent that it doesn't require a deep analysis. People can remain invested without having to create their own portfolio. However, it is critical to make them aware that they are not saving, but investing. This is important for **ethical and taxing** purposes.
- **Catalyst:**
 - ETFs and other enabling technologies **reduce the borrowing cost**. They expand the supply of capital, as they offer the advantage of low intellectual maintenance costs.
 - Investors become more indifferent to risk assets. They buy fixed-maturity funds that contain junk bonds, which is a bond issued by a company that has a lower-than-investment-grade credit rating. These bonds pay a higher yield, because they have a higher level of risk. This has **reduced the gap between corporate bonds yield and government backed securities**. **Disclaimer government taking a lot of dept.**

Educational Angle:

We discussed how certain ETFs may contain riskier assets, bringing us to the realization that in some scenarios certain corporate bonds could be more risky than solid ground stocks.

What are fixed income assets?

Fixed income securities are financial instruments that have a fixed payment return over a pre-established period.

Bond components:

- **Principal:** amount that the issue owes to the investors and is repaid at maturity.
- **Coupon:** Interest paid to the investors along pre established periods.
- **Issuer:** Person responsible who absorbs the legal obligations and its respective details (amount, currency, dates).

Bond Risks:

- **Inflation:** Higher inflation than expected would decrease your real return.
- **Shifts in the yield curve:** Better return might appear in the market, after you locked your capital in a specific investment.
- **Default risks:** The issuer might default on its debt obligations.
- **Liquidity shocks:** You might have a financial emergency and you might be require the capital.
- **Forex exchange risks:** The return are expected to be paid a specific currency that might be depreciating.

A very interesting example are Mexican governments bonds, which were paying 10% annually. However, at the same time, the Mexican peso have appreciated 13% against the dollar. So if you invested 100 USD in mexican bonds, your nominal return on USD would be around 23%. You only gained a fixed interest rate, you also gained because currency fluctuations.

Bonds Day Count Convention:

Coupon payments may be calculated using calendars! This is very important, because know exactly how much you are getting paid and if you are reinvesting those coupons.

- **Actual:** Yield is calculated based on 365 days.
- **30/360:** Yield is calculated assuming that all months have 30 days.
- **Actual/365:** Semiannual coupons are calculated over 182.5 days. It is weird because it counts for a yield of a half a day.

Equity vs. Debt Financing, the Fight of Good Governance

Author, Source & Date Published: J. B. Maverick, November 2025 and Vivek Mande, Young K. Park, Myungsoo Son, November 2011

Link: [Corporate Governance Article](#), [Investopedia](#)

Overview:

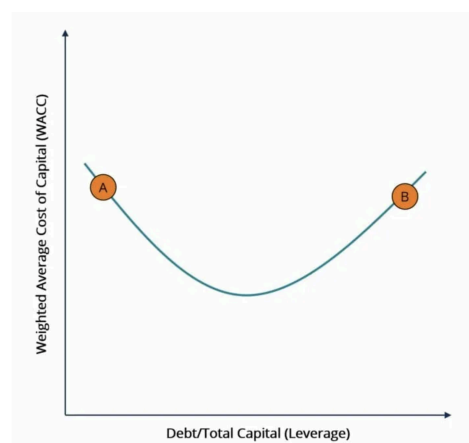
When it comes to financing or expanding their ventures and operations, most companies will eventually arrive at an important crossroads: raising funds through debt or through equity. But what lies at the end of each road? And what determines a company's choice?

Educational Angle: What is debt?

This one's easy, loans, lines of credit and corporate bonds are all debt instruments. **It's money the company has to pay back and it's accumulating interest.** On the upside, **they get to keep 100% of the ownership** but failure to repay the loan is considered a default and can lead to bankruptcy. Interest paid on debt is normally tax-deductible bringing down the overall cost. It's also less risky for investors because they get paid before shareholders.

Educational Angle: What is Equity?

Equity's not an alien concept either. It means diluting the company's ownership to small bits (shares) and selling it to the investors. **The upside is that there are no mandatory interest payments or repayments but it also means the company has reduced its ownership** and investors typically expect higher returns because they've taken on more risk. Add to that the opportunity cost of reduced shares and the compliance requirements of equity filings, this means equity is often more expensive than debt.



Graph: Tom Vipond, CFI

What determines the choice?

A lot of factors will dictate how the company will allocate its debt to equity ratio. Things like **risk management practices, expected future cash flow and the size of the business** all play a role. For instance, utility companies tend to have high debt compared to equity because they have predictable demand whereas start-ups in tech may face a lot more uncertainty. **When future revenues are not as certain, having repayment obligations can be quite demanding on a company so the equity route is a better bet.** Another important contributor may also be the incentives initiated by the government. How are the optimal tax rates distributed across firms for them to move towards one direction over another?

Regardless of all the various characteristics, the main consideration for any company is the **Weighted Average Cost of Capital (WACC) where a balanced mix of debt and equity will render the lowest possible cost** to keep the company afloat and thriving. Now this curve will of course look different for different companies but the concept is the same.

Math is some of the story, not all of it.

The paper by Mande, Young and Son explores a less-discussed factor when it comes to the debt-equity calculation: governance of a company. Looking at 2000 U.S. corporations, they find that **effective corporate governance actually sways companies towards equity as a source of financing over debt.** This is due to an inherent **agency problem within firms.** The same group that are in charge of making equity vs. debt decisions will often be the ones that have a vested interest. Going to equity markets can feel risky to a firm, they don't have a complete sense of how investors will react, it's practically mayhem compared to a nice, easy loan from the bank. But it also shrinks the access to funding that a company may desperately need.

This directly relates to the **pecking order hypothesis.** Which in short, is the tendency for firms to avoid equity markets and view it as a last resort due to information asymmetry. What the paper argues is that this **pecking order phenomenon is not just happening due to risk-averse firms or the complications of equity markets, but rather due to an agency problem that can be avoided with better governance across firms.**

So what?

Effective governance across corporate boards and auditors can make a huge difference in how they raise funds. In countries where investments and growth are essential and needed (least of all, our dear Canada), paying closer attention to how firms make their equity-debt decisions and whether agency problems in their governance methods are leading to less-than-efficient outcomes is an important one. Perhaps it is up to the economists reading this gazette to step in and sort it out!

Career Spotlight: Geopolitical Risk Analysts

Ever wanted to combine your economic prowess with some geopolitical tension and risk? You may find the job description of a political risk analyst fits that description. As an analyst in this field you'd be able to use your economics background to offer insights to a number of different institutions such as multinational corporations, insurance companies, NGOs and public sector organizations.

Here's what working as a geopolitical risk analyst usually involves:

- **Gathering and monitoring data:** from news outlets, government reports, economic data, social media, on-the-ground sources.
- **Analyzing and assessing risks:** combining political, economic, legal, social and security factors to determine how "risky" a country or region is. E.g. risk of government instability, regulatory changes, expropriation, currency problems, conflict, corruption, economic collapse, etc.
- **Producing reports and briefings:** summarizing findings, outlining risks and opportunities, and making recommendations (for investment, insurance under-writing, market entry/exit)
- **Advising clients or internal stakeholders:** helping decision-makers in companies, insurance firms, investors or governments understand potential dangers or favorable conditions before they commit capital
- **Possibly specializing:** by country / region, or by themes (e.g. regulatory risk, conflict risk, currency/sovereign-debt risk, human-rights/expropriation risk, economic-policy risk, etc.) – depending on employer
- **Travel, travel and then travel** some more. If being stuck in one place is not for you, then that won't be the case with this role whatsoever.

You can find out more [here](#).